

- RAG Learning

3.2 Business Growth

Business — Edexcel (9BS0) — Theme 3: Business decisions and strategy

Growth is rarely an end in itself: firms grow to cut unit costs, gain power over customers and suppliers, build brands and raise profit. The examinable tension is that the **same growth that delivers these benefits also creates new problems** — diseconomies of scale, communication breakdowns and overtrading — and that the *method* of growth (organic or by merger and takeover) changes both the speed and the risk. Small firms, meanwhile, survive not by imitating large ones but by exploiting the flexibility that size denies their rivals.

Economies of scale — the fall in average (unit) cost that results from increasing the scale of production.

Diseconomies of scale — the rise in average cost that occurs when a firm grows beyond its most efficient size.

Market power — the ability of a firm to influence prices and terms of trade with customers and suppliers.

Overtrading — expanding output and sales faster than the firm's working capital can support, leading to a liquidity crisis even when the firm is profitable.

Merger — two firms agree to join together to form a new, combined business, usually on roughly equal terms.

Takeover (acquisition) — one firm buys a controlling interest (over 50% of the voting shares) in another. It may be friendly or hostile.

Organic (internal) growth — growth by expanding the firm's own operations.

Inorganic (external) growth — growth through mergers, takeovers or other combinations with other firms.

USP — unique selling point: a feature that distinguishes a product from its rivals in the eyes of customers.

1. Objectives of growth (3.2.1a)

Economies of scale

Internal economies arise from the growth of the firm itself:

Type	How it lowers unit cost	Example
Purchasing (bulk-buying)	Discounts from buying in large quantities; greater bargaining power	Tesco and Sainsbury's negotiating supplier prices
Technical	Larger firms can afford specialised, high-capacity machinery; the law of increased dimensions	Container ships; car assembly robots
Managerial	Specialist managers (finance, HR, marketing) increase efficiency	Dedicated procurement and data teams
Financial	Lower interest rates and access to share capital because lenders see less risk	Large PLCs issuing corporate bonds
Marketing	Advertising cost spread over more units; national campaigns	A single TV campaign for all UK stores
Risk-bearing	Diversified product range or markets spreads risk	Unilever operating across food, beauty and home care

External economies arise from the growth of the industry in an area and benefit all firms there: a pool of skilled labour, specialist suppliers, shared infrastructure and local training. *Examples:* the Cambridge technology and life-sciences cluster; motorsport engineering in "Motorsport Valley" around Silverstone; the City of London's financial services.

Increased market power over customers and suppliers

Larger firms can dictate terms: negotiate lower input prices and longer payment periods from suppliers (improving cash flow), and exercise more control over the prices charged to customers

because there are fewer alternatives. This is why the Competition and Markets Authority (CMA) investigates large mergers.

Increased market share and brand recognition

A larger share makes the firm more visible, strengthens brand loyalty, secures shelf space with retailers and can become self-reinforcing through network effects (more users make a platform more valuable, as with Airbnb or Uber).

Increased profitability

Lower unit costs plus greater pricing power widen margins; higher volumes spread fixed costs; and profit funds further growth. But profit does not automatically rise with size — the problems below can outweigh the benefits.

2. Problems arising from growth (3.2.1b)

Diseconomies of scale

- **Communication** — longer chains of command and more layers slow down and distort messages; decisions take longer.
- **Co-ordination and control** — harder to ensure that all departments and sites are working towards the same objectives; duplication of effort.
- **Motivation** — employees in large organisations may feel anonymous and undervalued, raising absenteeism and labour turnover.

Once diseconomies set in, the average cost curve turns upwards: the firm has grown beyond its **minimum efficient scale**.

Internal communication

Growth often adds layers of hierarchy and new sites (possibly in different countries and time zones). Information overload, reliance on email, and loss of informal contact between managers and staff all reduce the speed and quality of communication. Firms respond by decentralising,

creating smaller semi-autonomous units, or investing in communication technology — each with costs.

Overtrading

A fast-growing firm must buy more stock, pay more staff and often give credit to new customers *before* it receives cash from the extra sales. Its cash outflows run ahead of inflows. Even a profitable firm can fail because it cannot pay its bills. Signs: falling current and acid test ratios, rising use of overdraft, suppliers paid late.

Exam Tip: Overtrading is a liquidity problem, not a profitability problem. Make the link explicitly: rapid growth → more working capital tied up in stock and receivables → cash outflows exceed inflows → unable to meet short-term liabilities → possible insolvency despite profit. Mention the ratios from Theme 2 (current ratio, acid test) to show synoptic understanding.

3. Mergers and takeovers (3.2.2)

Distinction between mergers and takeovers

	Merger	Takeover
Agreement	Mutual agreement of both boards	Can be friendly or hostile (against the target board's wishes)
Result	A new combined company, shares exchanged	Target becomes owned by the acquirer
Payment	Usually share swap	Cash, shares or both — typically a premium over the share price
Example	Vodafone UK and Three UK (completed May 2025, forming VodafoneThree); PSA and Fiat Chrysler forming Stellantis (2021)	Microsoft's \$69bn acquisition of Activision Blizzard (2023); Kraft's hostile takeover of Cadbury (2010)

Reasons for mergers and takeovers

- Fast growth — buying market share, customers and capacity immediately.
- Economies of scale and **synergies** (the combined firm is worth more than the two separately) — e.g. cost savings from closing duplicated head offices.
- Reduce competition and increase market power.
- Acquire brands, patents, technology or skilled staff.
- Enter new markets or countries (see 4.2).
- Secure supplies or distribution (vertical integration).
- Diversify and spread risk.
- Asset stripping / undervalued targets — private equity buys firms whose assets are worth more than the share price.

Horizontal and vertical integration

Type	Meaning	Benefits	Example
Horizontal	Firms at the same stage of production in the same industry	Market share, economies of scale, reduced competition	Vodafone–Three (mobile networks); Microsoft–Activision (gaming)
Vertical backward	Acquiring a firm at an earlier stage (towards suppliers)	Secure supplies, control quality and costs, capture supplier's profit	Tesla investing in lithium refining; Greggs manufacturing its own products
Vertical forward	Acquiring a firm at a later stage (towards customers)	Control distribution and retail presentation, capture retailer's margin	Brewers owning pubs; Apple operating its own stores

(Conglomerate integration — joining firms in unrelated industries — is not named in the specification but is useful context for diversification.)

Financial risks and rewards

Rewards	Risks
Higher revenue and profit from a larger combined business	Paying too much — a premium of 30–50% over the share price is common, and the synergies may never materialise
Cost synergies (e.g. VodafoneThree targeted around £700m of annual cost and capital savings)	Debt used to finance the deal raises gearing and interest costs — Asda's 2021 leveraged buy-out by the Issa brothers and TDR Capital left it with heavy debt, and Morrisons after its £7bn purchase by CD&R faced similar pressure
Higher share price if investors believe in the deal	Goodwill written down later, reducing reported profit
Cash from asset sales	Integration costs: IT systems, redundancy payments, rebranding

Problems of rapid growth through merger and takeover

- **Culture clash** — incompatible management styles and values (Daimler–Chrysler, 1998–2007, is the classic failure).
- **Broken promises and stakeholder distrust** — Kraft pledged to keep Cadbury's Somerdale factory open, then announced its closure within weeks of the 2010 takeover.
- **Integration problems** — merging IT, supply chains and pay structures; key staff leaving.
- **Regulatory intervention** — the CMA may block or impose conditions (it blocked the Sainsbury's–Asda merger in 2019; it required investment commitments for Vodafone–Three).
- **Diseconomies of scale** and loss of focus on the core business.

Exam Tip: Research regularly finds that a large proportion of mergers and takeovers fail to create value for the acquirer's shareholders. Use this in evaluation, but make it specific: *why* might this deal fail? Price paid, debt, culture, regulation. Then say what it depends on — e.g. whether the firms are in the same industry (easier to integrate) and whether the acquirer has done similar deals before.

4. Organic growth (3.2.3)

Distinction between inorganic and organic growth

Organic growth comes from within: selling more, opening new outlets, developing new products. Inorganic growth buys existing businesses. Organic growth is slower but lower risk; inorganic growth is faster but more expensive and harder to control.

Methods of growing organically

- Opening new stores, factories or offices — Greggs plans to keep opening shops, with over 2,500 already trading.
- New product development (financed by retained profit).
- Entering new markets, including export and e-commerce.
- Franchising — growth using franchisees' capital (often classed as organic because the brand grows without acquisitions).
- Increasing marketing to win market share.
- Investing in capacity and productivity (technology, training).

Advantages and disadvantages of organic growth

Advantages	Disadvantages
Lower risk — builds on existing knowledge and strengths	Slow — rivals may grow faster through acquisitions
Maintains control and culture; no clash of cultures	Limited by the firm's own funds and retained profit
Often financed internally, so no rise in gearing	Hard to reach the scale needed to compete in global markets
Management can adapt gradually; fewer diseconomies	Does not bring new skills, brands or technology quickly

Can be reversed or paused if the market changes

May miss time-sensitive opportunities

5. Reasons for staying small (3.2.4)

About 99% of UK businesses are small or medium-sized enterprises, and most are micro-businesses. Owners may choose to stay small for lifestyle reasons, to keep control, to avoid risk, or because the market is too small to support growth. Small firms survive in competitive markets through:

Survival method	Why it works for a small firm	Example
Product differentiation and USPs	Small firms avoid price competition with large rivals by offering something distinctive; customers pay a premium	Independent craft breweries; artisan bakeries
Flexibility in responding to customer needs	Short chain of command — decisions made quickly; bespoke products and small batches	Local builders tailoring jobs; independent restaurants changing menus weekly
Customer service	Personal relationships, owner knows customers by name, higher trust and repeat business	Independent bike shops and pharmacies
E-commerce	Low-cost access to national and global customers; marketplaces (Etsy, Amazon, eBay, Shopify stores) and social media reduce barriers to entry	Small makers selling handmade goods worldwide via Etsy or TikTok Shop

Evaluation: small firms' advantages can be copied (large firms also personalise service using data), and e-commerce also exposes small firms to global competition and platform fees. Staying small is sustainable where the market values personal service or uniqueness and where economies of scale are limited.

How Edexcel rewards this topic

- **Knowledge:** accurate definitions — distinguishing merger from takeover, horizontal from vertical, internal from external economies.
- **Application:** use the extract — which stage of production is each firm in? How is the deal financed? What is the firm's gearing?
- **Analysis:** develop chains: horizontal takeover → bulk-buying economies → lower unit costs → higher margins or lower prices → market share.
- **Evaluation:** the benefits of growth depend on the method, the price paid, how it is financed, the compatibility of cultures and whether the market can absorb the extra output. In a 20-mark question, finish with a recommendation that states the key condition on which it rests.

Common mistakes

- Treating "merger" and "takeover" as the same thing.
- Getting backward and forward vertical integration the wrong way round (backward = towards suppliers).
- Saying growth always raises profit — diseconomies and overtrading can reduce it.
- Describing economies of scale without saying they reduce *average/unit* cost (total costs rise as the firm grows).
- Writing that small firms cannot compete — the spec wants you to explain *how* they do.

Quick recall

- Objectives of growth: economies of scale (internal and external), market power, market share and brand recognition, profitability
- Internal economies: purchasing, technical, managerial, financial, marketing, risk-bearing
- Problems: diseconomies (communication, co-ordination, motivation), internal communication, overtrading (liquidity)
- Merger = agreed union; takeover = buying >50% of shares, may be hostile
- Horizontal = same stage; vertical backward = towards suppliers; vertical forward = towards customers

- Risks: overpaying, debt and gearing, culture clash, CMA intervention, broken promises
- Organic: slower, lower risk, keeps control; inorganic: faster, costlier, riskier
- Small firms survive by USPs, flexibility, customer service and e-commerce